Quiz 9 — how the class did

7

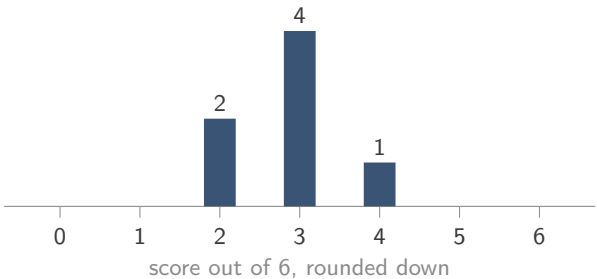
answer strips

2.9

mean score out of 6

3

median · range 2–4



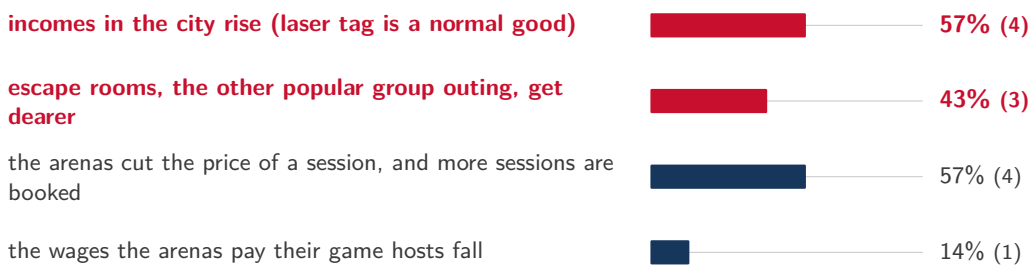
Average variable cost from a cost table

A workshop makes wooden stools. Its total cost a day is €140 with 0 stools (rent and machines, paid whatever it makes), €200 with 10 stools, €240 with 20 and €330 with 30. What is its average variable cost (AVC) at 20 stools a day?



What shifts demand right (select all) (select all that apply)

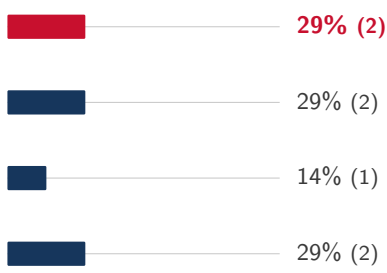
Laser-tag arenas in a city sell sessions. Which events shift the demand for laser-tag sessions to the right?



exact set correct: 14% · **average credit: 21%** · the shares add to more than 100 %: several circles could be marked

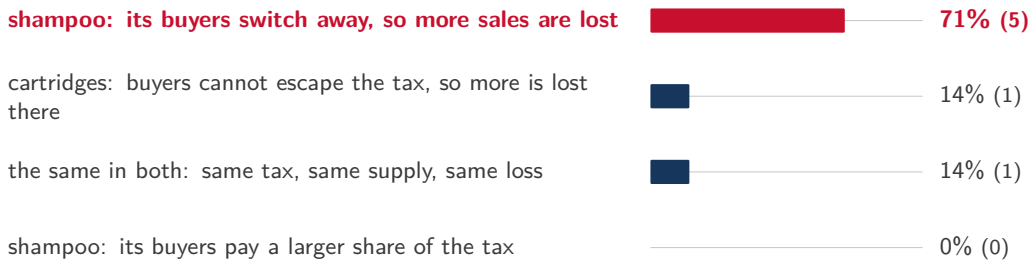
Diminishing marginal product: from which cook

A dumpling kitchen has one steamer, which it cannot change this month. With 1, 2, 3, 4 or 5 cooks it makes 12, 30, 45, 55 or 60 portions an hour. From which cook on does the marginal product of a cook (the portions one more cook adds) fall?



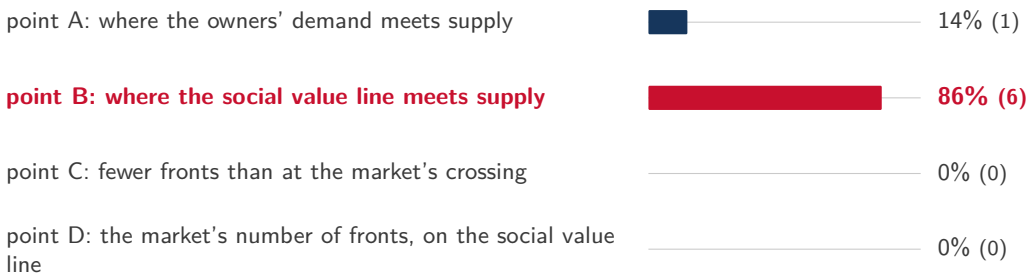
Same tax, two markets: where more is lost

The state puts the same tax of €1 a unit on two goods. Before the tax, the two markets had the same price, the same quantity sold and the same supply curve. Buyers of the ink cartridge that fits one printer model have no substitute; buyers of one shampoo brand can easily switch to other brands. Where is the deadweight loss of the tax (the surplus that buyers and sellers lose and the state does not collect) larger, and why?



A positive externality: the best number

Owners pay firms to repaint the fronts of old buildings. A freshly painted front also pleases neighbours and passers-by, who pay nothing for it. In the figure, the dashed line (social value) is the owners' demand plus the benefit to neighbours and passers-by. Which point shows the number of fronts repainted a year that is best for society?



A subsidy: what the seller receives

A town pays sellers €40 for each rainwater tank they sell. Before the subsidy a tank cost €200. Once the market settles, buyers pay €175 a tank. How much does a seller receive per tank, subsidy included?



Hardest three

Average variable cost from a cost table — 0% correct

€5 a stool: (€240 − €140) ÷ 20

most chosen instead: €12 a stool (86%)

What shifts demand right (select all) — 21% credit · 14% exactly right

higher incomes (a normal good) and dearer escape rooms (a substitute)

most chosen instead: the arenas cut the price of a session, and more sessions are booked (57%)

Diminishing marginal product: from which cook — 29% correct

the 3rd cook: the 3rd adds 15 portions, the 2nd added 18

most chosen instead: the 4th: from the 4th on, portions per cook (portions ÷ cooks) fall (29%)